

ADDENDUM TO FUNDING AGREEMENT

Entered into by and between

EASTERN CAPE DEPARTMENT OF HUMAN SETTLEMENTS (ECDHS), a Provincial Department in the Government of the Republic of South Africa herein represented by **MR. B. PANDA** in his duly authorized capacity as Acting **CHIEF DIRECTOR: DISTRICT CO-ORDINATION & PROJECT MANAGEMENT**.

And

GS UNITED HOLDINGS (PTY) LTD, a private company with Registration No: **2014/097528/07** herein represented by **MS. S.J NGCAKANI**, in his duly authorized capacity as the **OPERATIONS MANAGER**.

In Re

EXTENSION OF TIME FOR AMATHOLE DISASTER 550 (MNQUMA 205) HOUSING PROJECT UNDER MNQUMA LOCAL MUNICIPALITY

ADD: ECDHS & GS UNITED HOLDINGS (PTY) LTD In Re EXTENSION OF TIME IN RESPECT TO AMATHOLE DISASTER HOUSING PROJECT

B.l

SW

1. DEFINITIONS:

<i>Agreement</i>	Means the Funding Agreement signed between the parties on 07 June 2021 and, herein after also called the original agreement or Funding Agreement.
<i>Department</i>	Means the Eastern Cape Department of Human Settlements (ECDOHS) or its predecessor in title the Department of Housing.
<i>Duration Period</i>	Means an extension of duration of original agreement for a period of <u>10 Months</u> from 1 June 2024 to 30 March 2025 when the contract will lapse.
<i>Effective Date</i>	Means the effective date of this addendum namely from 1 st June 2024.
<i>Parties</i>	Means the Eastern Cape Department of Human Settlements (ECDOHS) and Gs United Holdings (Pty) Ltd.

THEREFORE, the parties make the following additional concessions to the Original Agreement.

2. The Funding Agreement as defined in Section 1 above is by effect of this addendum amended at Clause 4.1 on Duration to extend the Funding Agreement for a period of 10 Months from **1 June 2024** to **30 March 2025** when the contract will lapse.
3. The new duration to this addendum is stipulated in Table 1 below.

Table 1:

EXTENSION OF TIME		
Start date	End date	Total months
1 June 2024	30 March 2025	10 Months

SOURCE: 1. Letter of extension and memo of condonation for extension dated 13 June 2024.
2. Project Implementation Plan (PIP)

4. All terms and conditions not amended by this addendum shall remain in force as originally intended in the Original Agreement.

SIGNED AT EAST London ON THIS 13th DAY OF June 2024

AS WITNESSES:

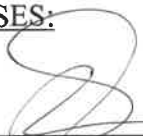
1. _____
2. _____



MS. S.J NGAKANI
DIRECTOR
GS UNITED HOLDINGS (PTY)LTD

SIGNED AT BDS London ON THIS 19 DAY OF June 2024

AS WITNESSES:

1.  _____
2.  _____



MR B. PANDA
CHIEF DIRECTOR:
DISTRICT CO-ORDINATION &
PROJECT MANAGEMENT
ECDHS



Province of the
EASTERN CAPE
HUMAN SETTLEMENTS

CONTRACTS MANGEMENT

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chiselhurst • East London • Eastern Cape • RSA
Office No: 043 711 9929 • Fax No: 086 505 4551 • Email: AndisiweK@ecdhs.gov.za

Department of Human Settlements
31-33 Phillip Frame Road
Chiselhurst
East London
5201

Dear Mr B. Madikila,

RE: APPOINTMENT AS ACTING DIRECTOR – CONTRACTS MANAGEMENT.

You are hereby appointed as the Acting Director – Contracts Management as I will be away from office from 18 June 2024 to 28 June 2024.

You will be responsible with full delegation of powers assigned to me and attend meetings on my behalf.

It is advised that you update me on every task undertaken during my absence.

Your cooperation in this regard is highly appreciated.

MRS. N MAQULA
DIRECTOR: CONTRACTS MANAGEMENT
DATE: 14/06/24

ANNEXURE A

APPOINTMENT LETTER



Province of the
EASTERN CAPE
HUMAN SETTLEMENTS

OFFICE OF THE CHIEF FINANCIAL OFFICER

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chiselhurst • East London • Eastern Cape • RSA
Office No: 079 4936 154 • Fax No: 043 000 00 • Email: MziyandaM@ecdhs.gov.za

ATTENTION MS S.J. NGCAKANI
GS UNITED HOLDINGS PTY LTD
266 KRAGGA KAMMA ROAD
THESECOMBE
PORT ELIZABETH
6027

Dear Madam

**SCMU11-21/22-069: EXTENSION OF TIME APPROVAL FOR AMATHOLE
DISASTER 550 (MNQUMA 205) HOUSING PROJECT IN MNQUMA
MUNICIPALITY – LETTER FOR EXTENSION OF TIME.**

1. The Department has approved your application for extension of time. Your contract period will be revised by a further 09 months ending on 31 March 2024.
2. Please be advised that there will be no financial implication on this extension, and no further extension will be granted on this contract.
- 3 You are expected to submit a revised Project Implementation Plan (PIP) inclusive of the extension period signed by the Contractor and the Project Manager.
- 4 It is important that you meet with the Department immediately to reach common understanding on the deliverables mentioned above.

Yours faithfully

MR. U. PAMBO
ACTING REGIONAL DIRECTOR
AMATHOLE REGION

13.06.24
DATE



Province of the
EASTERN CAPE
HUMAN SETTLEMENTS

MEMO

OFFICE OF THE CHIEF DIRECTOR: DISTRICT CO-ORDINATION &

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chislehurst • East London • Eastern Cape • RSA
Office No: 0437119760 • Fax No: 04371197869 • Email: NwabisaB@ecdhs.gov.za

Reference Number: ACTING LETTER

MEMO

TO:	Mr U. PAMBO
FROM:	OFFICE OF Acting CHIEF DIRECTOR: DISTRICT CO-ORDINATION AND PROJECT MANAGEMENT
DIRECTORATE:	DISTRICT CO –ORDINATION & PROJECT MANAGEMENT
DATE:	11 JUNE 2024
CC:	ALL CHIEF DIRECTORS REGIONAL DIRECTORS ALL DIRECTORS
SUBJECT:	ACTING REGIONAL DIRECTOR: AMATHOLE

Mr. U. Pambo is hereby appointed as Acting Regional Director: Amathole on the 11-18 June 2024 as the Regional Director is on leave.

This appointment authorizes Mr. U. Pambo to carry out official duties on behalf of the Regional Director in terms of the applicable Public Service prescripts and to sign all correspondence directed to him in the interest of service delivery.

The Regional Director is delegated to approve amounts up to and including R250 000.00

Your acting capacity goes with full delegated authority.

Thanking you in service delivery.

Recommended by

MR B. PANDA
ACTING CHIEF DIRECTOR: DC & PM
DATE: 11 JUNE 2024



Province of the
EASTERN CAPE
HUMAN SETTLEMENTS

HUMAN RESOURCE MANAGEMENT

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chiselhurst • East London • Eastern Cape • RSA
Office No: 043 711 9627 • Fax No: 000 000 0000 • Email: ZolaniN@ecdhs.gov.za

Ref no.: 3/4/12
Enquires: Mr Z. Ntozini

Mr B. PANDA
Department of Human Settlements
Private Bag X13008
Cambridge
5206

Dear Mr Panda

**APPOINTMENT AS ACTING CHIEF DIRECTOR: DISTRICT COORDINATION AND
PROJECT MANAGEMENT: YOURSELF**

It is with great pleasure to inform you that the Acting Head of Department has in terms of Section 32 of the Public Service Act as amended and the Acting Policy in the Public Service appointed you as an **Acting Chief Director: District Coordination and Project Management** with effect from **01 February 2024 to 31 July 2024** for the duration of the secondment of the incumbent of the post in question.

- Please note that there will be no changes in your salary and no acting allowance to be paid for the duration in terms of the Acting Policy, which stipulates that an acting allowance is only payable where the post is vacant and funded.
- As an Acting Chief Director, you have to enter into a performance agreement with the Acting Head of Department for the duration of your acting.

I take this opportunity to wish you all the best and success during your period of acting and trust that this presents an opportunity for your growth and development of your leadership and administrative skills.

Yours in Service

MR E.D.Q. VENN
ACTING HEAD OF DEPARTMENT
DEPARTMENT OF HUMAN SETTLEMENTS

DATE: 31/01/2024

ANNEXURE B

AUTHORISING MEMO



OFFICE OF THE REGIONAL DIRECTOR : AMATHOLE

Steve Tshwete House • 31-33 Phillip Frame Road • Waverly Park • Chiselhurst • East London • Eastern Cape • RSA
Office No: 0794936154 • Fax No: • Email: MziyandaM@ecdhs.gov.za

Reference Number: EoT: Amathole disaster 550 (Mnquma 205) housing project

TO:	CHIEF DIRECTOR – DC & PM
FROM:	REGIONAL DIRECTOR
BRANCH:	AMATHOLE REGION
DIRECTORATE:	DISTRICT CO-ORDINATION AND PROJECT MANAGEMENT
SUBJECT:	APPLICATION FOR EXTENSION OF TIME FOR AMATHOLE DISASTER 550 (MNQUMA 205) HOUSING PROJECT
ENQUIRIES:	N. PHALISO 074 140 5227/ M. MANDILA 079 4936 154

1. PURPOSE

To request approval for extension of time for Amathole Disaster 550 (Mnquma 205) Housing Project, to allow completion of the remaining scope of works. The application is for an equivalence of ten (10) months.

2. PROJECT INFORMATION

Project Scope:	Construction of 205 housing units
Contractor:	GS United Holdings
PSP :	Hiscutt & Dray Consulting Structural & Civil Engineers
SCMU No:	SCMU11-20/21-96
HSS No:	C21010002
Contract Amount:	R 32 336 700.00
Project expenditure	R 12 681 790.00
Balance:	R 19 654 910.00
Start date:	07-06-2021
End date:	30-06-2024
Requested End date:	30-03-2025

3. PROGRESS TO DATE

Milestone	Progress to date	Outstanding work	Time required to complete the units per individual milestone
Inception	205	0	0
Planning & Design	205	0	0
Foundation	125	80	4 months
Wall Plate	98	107	4 months
Roofs	87	118	3 months
Finishes	74	131	3 months
Completions	63	142	3 months

An additional period of ten (09) months will be required to complete the outstanding work on the project.

4. DISCUSSION AND MOTIVATION

- ❖ The project referred to as Mnquma 205 is a rural project which emanated from 550 households that were stricken by tornado in November 2020, December 2020 and January 2021 respectively in various Municipalities under Amathole District Municipality. 205 disaster-stricken households were identified under Mnquma Municipality where some families were left homeless whilst others were living under dire conditions.
- ❖ Project has delayed in its inception stage as some beneficiaries which were targeted by the project had improved their households. Some were not qualifying due to various reasons which included previously benefited individuals.
- ❖ Beneficiary administration was done by the Department of Human Settlements with the assistance of Mnquma Municipality. This led to the project being enrolled in mid-2022.
- ❖ After project enrollment by NHBRC the Contractor was able to commence with actual construction activities.
- ❖ Vastness and scatteredness of the project were also contributing factors to delays in the project as it is cutting across 108 villages in 24 wards under Mnquma Local Municipality.
- ❖ Inclement weather conditions that consistently hit Amathole District Municipality jurisdictional area caused deterioration in existing infrastructure which made it difficult for some households to be accessed which to delay in progress.
- ❖ Consequential days were taking up to 3 days for the contractor to be able to go back to site due to geohydrological conditions of the area.

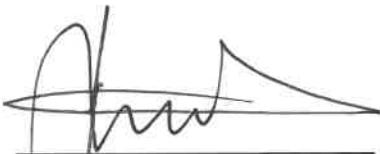
5. RECOMMENDATIONS

It is therefore recommended that:

extension of time for contractor GS United Holdings for an equivalence of nine (9) months for the completion of the outstanding work be approved.

- To assist these families as the conditions that they are living under are extremely dreadful and deteriorating.
- To avoid delays that maybe incurred due to procurement processes

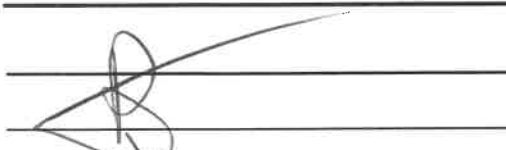
Contractor's delay claim, be considered as the circumstances surrounding the delay were beyond contractor's control.



MR M. MANDILA
ACTING REGIONAL DIRECTOR: AMATHOLE REGION

DATE: 10/06/24

RECOMMENDED / ~~NOT RECOMMENDED~~



MR B. PANDA
ACTING CHIEF DIRECTOR: DC & PM

DATE: 11/06/2024

APPROVED / ~~NOT APPROVED~~



MR E. VENN
ACTING HEAD OF DEPARTMENT

DATE: 11/06/24

29 May 2024

Contract No: SCMU11-20/21-96

Client: Eastern Cape Department of Human Settlements

Attention: Regional Director – AMATHOLE REGION

CLAIM FOR EXTENTION OF TIME

In terms of clause 29 of the JBCC Principal Building Agreement, we hereby submit our detailed claim and quantification of delays for a revision of the practical completion date.

The relevant clauses we rely on is clause 29.1.1 and clause 29.1.4. and detailed impact of circumstance and particulars rising to the events as listed below:

- 1. Clause 29.1.4:** - *"An event neither party could prevent, civil commotion, riot, strike or lockout"*

1.1 Beneficiary management:

Beneficiary management was concluded in 365 days

1.2 Project terms of reference:

The project terms of reference were speaking to 10 wards. Construction is currently taking place in 28 wards.

Delays caused by the Project Scope being increased by an additional 18 Wards:

1.2.1 Enrolment phase:

- Due to the vastness of the units covering the 28 Wards, a delay of 15 days was encountered for additional test pits that needed to be excavated and distances travelled between Units for Machinery and Plant.

1.2.2 Construction Phase:

- More frequent site establishments to cover the additional wards caused a delay of 60 days

1.3 Delays Caused by the Community and Business Forums

1.3.1 Community:

- Unlawful actions by the community prevented construction to proceed and caused a delay of 30 days.

1.3.2 Business and Trucking Forums

- Unlawful actions by the business and trucking forums caused delays of 30 days.

2. Clause 29.1.1: - "The adverse effect of weather conditions"

2.1 Adverse weather conditions:

- An average of 30-day delay per year was recorded due to in-climate weather conditions.
- No deliveries could be accepted during these days due to the sites being un accessible and offloading of materials not possible.
- Due to the rural location of the sites and soil conditions works could only commence when the ground conditions are completely dry to avoid any risk to our plant/machinery and adhering to health and safety measures.
- The sites where construction is taking place required a minimum of 2 to 3 days of drying time, to not only start construction but also accept deliveries in a safe manner, thus resulting in an additional delay for terrain drying time.
- Construction of foundations was immensely delayed due to groundworks that was prepared for casting that had to be reworked to meet specifications on numerous occasions.

2.2 Inability to obtain materials and goods

- The vastness of our construction site and the bad condition of the main access route to the various sites, has left our suppliers hesitant and unwilling to deliver material to site. Unwilling to run the risk of severe damage to their delivery vehicles other means of delivery had to be arranged for material to be brought to site.
With the above in mind, it's clear that the lead time for material delivery to site has increased exponentially and calculated at a 10-day per year delay.
- Materials delivered had to be stockpiled and alternative hauling needs had to be put in place to transport material from laydown areas to construction sites, due the abnormal rainfall, thus rendering al sites un accessible as listed above. The impact of the delay is calculated at 10 days per year.

Please see below table 1 illustrating delays:

		YEAR				TOTAL:
		2021	2022	2023	2024	
1	Beneficiary Management delay	30	335	0	0	365
2	Enrolment phase delay due to vastness of the project	15	0	0	0	15
3	Construction phase delay due to 28 Wards being constructed and not 10 Wards as per terms of reference	10	20	20	10	60
4	Delays caused by the community	30	0	0	0	30
5	Delays caused by the Trucking forum	30	0	0	0	30
6	Delays caused by the Business Forum	30	0	0	0	30
7	Adverse weather conditions	15	30	30	0	75
8	Inability to obtain material and goods	5	10	10	0	25
9	Builders Break	13	13	13	0	39
DAYS DELAYED						669

Description	Year	Days Delayed
Start Date:	7 June 2021	
Completion Date:	30 June 2024	
Delays as per table 1:		669
Revised Completion Date:	30 April 2026	

Table 2:

As a result of the impact illustrated in above table 1 and 2, a 669-calendar day extension to the practical completion date on the project is applicable.

Our current completion date is the 30th June 2024, and the revised completion date according to above circumstances of events will be 30th of April 2026.

Due to our commitment towards the completion of the project, we will only be requesting an additional 274 calendar days, thus revising the practical completion date to **30th of March 2025**.

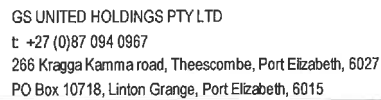


Kind Regards

S. Ngcakani

ANNEXURE C

PROJECT IMPLEMENTATION PLAN



PROJECT NUMBER :	MNQUMA 205	
CONTRACT NUMBER :	MNQUMA 205	
CONTRACT DESCRIPTION :	The Construction of 205 TOP STRUCTURES	
CONTRACTOR :	GEAR CIVILS	CONTRACT PERIOD:
REPORT DATE :	12,06,2024	COMPLETION DATE: 31 June 2025
TOTAL No. OF HOUSES :	144	REPORT DATE: 12,06,2024

[illegible]

Month and Year	Rat Foundations			Wallplate			Roof			Rain Water Goods			Finishes			Completions			Sub Total		
	Rate	Progress	Estimate	Rate	Progress	Estimate	Rate	Progress	Estimate	Rate	Progress	Estimate	Rate	Progress	Estimate	Rate	Progress	Estimate	Total	Progress	Estimate
Jun-24	R 47 900.00	R	R	R 38 040.00	R	R	R 34 180.00	R	R	R 11 345.00	R	R	R 40 880.00	R	R	R 2 185.20	R	R	R 170 426.00	R	R
	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R
	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R
Jul-24	R 239 500.00	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R
	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R
Aug-24	R 239 500.00	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
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	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R
Sep-24	R 239 500.00	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R
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Oct-24	R 239 500.00	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
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Nov-24	R 239 500.00	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
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Dec-24	R 239 500.00	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
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Jan-25	R 431 100.00	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
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Feb-25	R	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
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Mar-25	R	R	R	R 180 200.00	R	R	R 170 800.00	R	R	R 56 730.00	R	R	R 204 900.00	R	R	R 32 928.00	R	R	R 681 330.00	R	R
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	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R
	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R	R
Total	R 3 305 100.00	R	R	R 3 064 318.00	R	R	R 3 586 800.00	R	R	R 1 134 600.00	R	R	R 4 058 000.00	R	R	R 254 643.20	R	R	R 15 443 461.20	R	R

SIGNED	NAME	SIGNATURE	DATE
Project Manager	Dr. Phakiso	11/04/24	13.06.24
GS UNITED HOLDINGS	S. Ngqakani		13.06.24